Olist Performance Review

Prepared by Sama Velda, October 14, 2026

Purpose

This report looks at about 100,000 orders placed on Olist between September 2016 and September 2018. The question I set out to answer was where the business is making and losing money and customer satisfaction, and what can be done about it.

Summary

Olist grew quickly through 2017 and then levelled off in 2018. Sales depend heavily on Sao Paulo and on a small group of product categories, and almost all customers buy only once. The biggest problem I found that can be fixed is late delivery. Orders that arrive more than 5 days late get an average review of 1.78 stars, compared with 4.29 for orders that arrive on time. I recommend focusing on delivery in a few states and on getting first-time buyers to come back.

Main numbers

Measure	Value
Orders (excluding canceled and unavailable)	98,207
Product sales (delivery fees not included)	13.5 million BRL
Average order value	137 BRL (the middle order is 87 BRL)
Average review score	4.16 out of 5
Orders delivered after the promised date	8.1%
Customers who ordered more than once	3.0%

What I found

1. Sales. Monthly orders grew about nine times between January 2017 (787 orders) and early 2018 (about 7,200), then stayed between 6,000 and 7,000. November 2017 was the highest month with 7,423 orders, 63% more than October. This is probably Black Friday, but the data has only one November, so I cannot say it happens every year.
2. Where sales come from. Sao Paulo state accounts for 38.3% of sales, and the three biggest states (Sao Paulo, Rio de Janeiro and Minas Gerais) for 63.4%. The ten biggest product categories bring in 62.4% of sales. Watches and gifts earn about 214 BRL per order, nearly double bed, bath and table at 110 BRL.

3. Delivery and reviews. A typical delivery takes 10.2 days, and 8.1% of orders arrive after the promised date. Orders that arrive on time average 4.29 stars. Orders 1 to 5 days late average 3.46, and orders more than 5 days late average 1.78, with 67% of them getting one star. Alagoas (23.9% late) and Maranhao (19.7%) have the worst late rates. Rio de Janeiro is the second-largest state and 13.5% of its orders are late, which affects a lot of customers.
4. Customers. Only 3.0% of customers ordered more than once. Customers who spend a lot make up about 30% of all customers but 58% of sales, whether they bought recently or more than a year ago.
5. Sellers. Sales are spread across about 3,000 sellers, and the top ten earn only 13.2% of the total. A bigger seller does not get better reviews, while sellers with more late deliveries tend to score lower. One of the larger sellers averages 3.49 stars, with deliveries taking about 20 days.

What I recommend

1. Improve delivery in Rio de Janeiro, Alagoas and Maranhao, and set a target for late deliveries in those states.
2. Review delivery estimates state by state. Orders arrive 11 days before the promised date on average, yet some states still miss it.
3. Prepare sellers and carriers for November, when orders rose 63% in 2017.
4. Try a second-purchase offer on a small group of recent high-value customers, and a win-back offer for those who last bought over a year ago. Measure the results before doing more.
5. Track each seller's review score, delivery time and late rate, and look first at large sellers with weak results.
6. Promote higher-value categories such as watches and gifts.

Limits of this work

Late delivery goes together with low reviews, but I have not shown that it is the only cause. Damaged or wrong items could also lower scores. The data covers 2016 to 2018 and includes one November only. Customer return rates use six months of follow-up, and groups such as "at risk" are labels I defined, so they do not prove those customers would buy again. A review belongs to a whole order, so it is an imperfect measure of a single seller.

Next steps

I would check whether delivery is slower in busy periods such as November, test whether shipping across states explains the slow deliveries, and run the second-purchase offer as a small trial. The dashboard that goes with this report lets you filter by state, month and category.